

Short Sale Title Transfer Issues

A short sale occurs when the market value of the property (and the eventual sales price) is less than the net proceeds the borrower will get when selling it. The only option for sellers who don't have enough money to make up the difference between what's owed and the sales price is to request permission from their lender (or lenders) to repay less than the total amount owed.

Why Would Sellers Opt for a Short Sale?

Short sales aren't much fun for sellers—they'll be walking away from their home with no proceeds and a shortfall that might eventually have to be repaid. Usually sellers don't select this route; it's selected for them due to circumstances—they got in over their head, or their financial situation has changed due to job loss, increased mortgage payments (for adjustable rate loans), and inability to refinance because there's no equity left in the property. Emotions are often high, nerves frayed, and sellers just want to get out from under their debt load. They have no incentive to leave the property in pristine condition (and likely won't). That said, they have no reason to turn down an offer, either, and are usually quick to sign. But the offer still must get by the lender.

Lenders Have a Lot of Power

Lenders often take a very long time to approve short sales. Until they accept the loss, it doesn't show up on their books. Sometimes lenders wait so long that the buyer just walks away. And sometimes after several months of deliberating, the lender decides not to approve the short sale.

Junior lenders may not approve the short sale. If there's more than one lien on the property, the junior lien holder may not approve the short sale. Reason? The original lender isn't getting everything owed to them in a short sale, so there may be nothing left to pay a junior lender. Some junior lenders would rather take their chances with a foreclosure sale than approve a short sale—or they may be willing to approve provided they are guaranteed a certain amount at closing. Where that amount comes from—the original lender, the short sale seller, or the short sale buyer—is a negotiating point.

How Liens Affect a Short Sale

Current liens on the property might kill the deal. A short sale property has not gone through the process of clearing liens from the title, so the buyer will be asked to take title subject to the liens. Buyers must budget accordingly and try to get everything paid off at the closing. It's also possible that unrecorded (and undisclosed) liens exist. Even a thorough title examination may not turn up all existing liens.

More Money, More Problems

After waiting several months for lender approval, the lender may require more money to close. When that happens, everyone looks to the buyer for the cash. Buyers must decide what they're willing to spend to make the deal happen. Some short sales don't pencil out.

Buyers contemplating a short sale should be counseled to hire an attorney to represent and protect their interests. The lender's attorney will be looking out for the lender, not the buyer.